the short side. You want to be long the exponential upmove without taking on the gap risk of a collapse. Therefore options provide a good way of doing this type of trade.

Since the silver price move exhibited characteristics of a bubble, why wouldn't you also consider trading the market from the short side?

Because tops are messy, and the reversals in bear markets are horrendous. It is very rare to find comfortable shorts in bear markets. If you consider Nasdaq as an example, it was quite an easy trade from the long side for a long time. It went from 1,500 in late 1998 to over 5,000 in early 2000 with hardly any meaningful corrections. From the short side, it was a really tough trade. After breaking down in very whippy fashion to under 3,100 in June 2000, the market then rallied back to near 4,300 in the next two months. This was a 40 percent rebound in a market that was clearly dead. Postbubble dead cat bounces can be vicious.

Sounds more like a dead tiger bounce.

I don't think you will find many people that have made the majority of their money shorting bubbles.

Does that imply that you didn't trade the Nasdaq from the short side even after you were sure the bull market was dead?

No, I didn't because the repercussions of the top were a lot easier to play than being short the Nasdaq itself. You had a broad bubble in assets. The U.S. economy had been built up by a massive mispricing of assets. Once the Nasdaq burst and everything unraveled, it was clear the economy would slow down. The economic downturn led to a big move in fixed income that provided a much calmer way to play that idea than a direct trade in equities.

So rather than consider the short side of the Nasdaq, you traded the long side of the bonds.

That's right.

Are there any current examples of markets that are in euphoria-driven states that are running counter to fundamentals?